INDEPENDENT FINANCIAL ANALYSIS

Aston Martin Lagonda

Turnaround or Debt Trap?

An outside-in analysis based on public information



Meriem Bekkali Hassani

Pursuing a Master's degree in International Financial Analysis

October 2026

This report is an independent analysis based solely on publicly available information. It does not constitute investment advice, and the author has no affiliation with Aston Martin Lagonda Global Holdings plc. Market data as of late September 2026.

Contents

Executive Summary **3**

I. Company Overview 4

1. Business description 4
2. Product portfolio and positioning 4
3. Business model and revenue drivers 4
4. Geographic exposure 5
5. Ownership and governance 5
6. Strategy and recent developments 6
7. Key financials 7
8. Key takeaways for the analysis 7

II. Industry and Competitive Landscape 8

1. The ultra-luxury automotive market 8
2. Structural trends 8
3. Competitive positioning 9

III. Financial Analysis 10

1. Quality of Earnings 10
2. Cash Flow, Capex and Working Capital 12
3. Net Debt and Capital Structure 14

IV. Peer Benchmarking and Valuation 17

1. Peer comparison 17
2. Market valuation 17
3. Implied equity value and sensitivity 18

V. Conclusion: Key Risks and Findings for a Potential Investor 19

1. Key findings 19
2. Key risks 19
3. Scenarios 19
4. Information requests for a full due diligence 20
5. Turnaround or debt trap? 20

Appendices **21**

A. Summary financial statements 21
B. Alternative performance measures reconciliation 22
C. Glossary 23
D. Sources 24

Executive Summary

Aston Martin is a turnaround in progress, but its balance sheet turns the recovery into a race against time. The brand retains genuine pricing power and operating performance improved sharply in H1 2026. Yet the group still consumes cash, carries net debt of more than £1.5bn and must refinance around £1.3bn of notes by March 2029. This outside-in analysis, based solely on public information, asks a simple question: what does the business really earn, burn and owe?

£1,258m FY 2025 revenue (−21%)	**£108m** FY 2025 adjusted EBITDA (8.6% margin)	**£(410)m** FY 2025 free cash flow	**£1,545m** Net debt on 30 June 2026
8.9x Adjusted net leverage (LTM)	**+38%** H1 2026 revenue growth	**£0.34bn** Market capitalization (late Sept. 2026)	**82%** Share of enterprise value financed by net debt

Sources: Annual Report 2025; H1 2026 Results; Google Finance; author's calculations (see Sections I to IV).

Key findings

- **A strong brand in a small-scale business.** Aston Martin sells cars at prices comparable to Bentley and Lamborghini, but with half their volumes. With 5,448 cars in FY 2025, fixed costs weigh far more on each vehicle, and Aston Martin is the only loss-making player of the ultra-luxury group (Section II).
- **Reported EBITDA overstates underlying performance.** After excluding an £11m one-off warrant gain, normalized FY 2025 EBITDA falls to £97m. More importantly, EBITDA excludes £271m of capitalized development spend: after this spend, the business generated a negative £174m before interest (Section III.1).
- **The business burns around £400m of cash a year.** Capex and interest absorb far more than EBITDA. Aston Martin would need around £460m of EBITDA, 2.6 times its current level, just to stop consuming cash (Section III.2).
- **Debt is the central risk.** Adjusted for debt-like items, net debt reaches c. £1.58bn to £1.74bn at 30 June 2026, or around 10 to 11 times normalized LTM EBITDA (15 to 16 times on the FY 2025 trough). Liquidity relies on the July 2026 refinancing and on repeated shareholder support (Section III.3).
- **The equity is an option on the recovery.** Net debt represents 82% of enterprise value, and the equity would be worth nothing below c. 8.9 times EBITDA. Illustrative scenarios range from nil to around 143p per share, against a share price of 33.4p (Sections IV and V).

Verdict. Turnaround or debt trap? Both, for now. The operational recovery is real, but its value to shareholders depends on cash generation catching up with interest and investment needs before the 2029 refinancing. Key milestones to monitor are H2 2026 free cash flow, the success of the Specials that follow the Valhalla, the March 2027 covenant test and the terms of the 2029 refinancing.

I. Company Overview

Aston Martin Lagonda Global Holdings plc

1. Business description

Aston Martin Lagonda designs, engineers and manufactures ultra-luxury, high-performance sports cars and SUVs. Founded in 1913 by Lionel Martin and Robert Bamford and headquartered in Gaydon, England, the company manufactures its sports cars in Gaydon and its DBX SUV range in St Athan, Wales.[1] It has been listed on the Main Market of the London Stock Exchange since 3 October 2018, under the ticker AML.[2]

Vehicles are sold through a network of 156 dealer locations in 53 countries, all operated by third parties except one in the United Kingdom.[3]

2. Product portfolio and positioning

The group completed the renewal of its core line-up in 2025, alongside the launch of the Valhalla, its first mid-engined plug-in hybrid supercar.[4] In our view, Aston Martin occupies a distinctive position between premium performance brands such as Porsche and ultra-luxury peers such as Ferrari, Lamborghini, Bentley and Rolls-Royce, competing on brand heritage, design and exclusivity rather than scale.

Segment	Models	Role in the portfolio
Sports cars	Vantage (Coupé, Roadster, S)	Entry point to the brand
Grand tourers	DB12 (Coupé, Volante, S)	Core grand touring offer
Flagship	Vanquish (Coupé, Volante)	V12 halo model, highest core price point
SUV	DBX (incl. DBX S)	Diversification beyond two-door sports cars
Specials	Valhalla	Limited-series supercar; major swing factor for revenue and margins
Personalization	Q by Aston Martin	Bespoke commissions for individual customers

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 5-11 and p. 18-19.

By category, FY 2025 wholesale volumes split between Sport/GT models (3,549 units, 65%), SUVs (1,717 units, 32%) and Specials (182 units, 3%).[5] Valhalla deliveries began in Q4 2025 with 152 units, followed by more than 220 in H1 2026; the group expects around 500 deliveries in FY 2026.[6]

3. Business model and revenue drivers

Revenue is essentially the product of volumes and average selling price (ASP). The mix between core models and Specials is the single most important driver of reported performance:

- **Core models provide the recurring base:** 5,266 units in FY 2025, at a core ASP of £185k, up 5% year-on-year.[7]
- **Specials are sold in very small numbers at much higher prices:** we estimate the implied average price of the 182 Specials delivered in FY 2025 at around £0.9m, almost five times the core ASP.[8] Management highlights their

[1] Aston Martin Lagonda, corporate website, "About Us", astonmartin.com/en/corporate/about-us.

[2] London Stock Exchange Group, "Aston Martin Lagonda lists on London Stock Exchange", press release, 3 October 2018, lseg.com.

[3] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 3 (At a glance) and p. 21 (Our business model).

[4] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 18 (Our strategy) and p. 10 (Valhalla).

[5] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33 (Financial Review: wholesale volume summary).

[6] Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[7] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33 (Financial Review: revenue and ASP summary).

[8] Author's calculation from the Annual Report 2025, p. 33: (total ASP £209k × 5,448 units − core ASP £185k × 5,266 units) ÷ 182 Specials. Indicative only, as reported ASPs are rounded.

higher margins.[9] Their delivery timing therefore creates large swings from one period to the next: total ASP fell 15% to £209k in FY 2025 as fewer Specials were delivered ahead of the Valhalla ramp-up, before rising to £241k in H1 2026.[10]

- **Customer deposits collected on Specials ahead of delivery are a material source of financing:** their unwinding as cars are delivered weighed £178m on operating cash flow in FY 2024.[11]

Revenue is recognized when vehicles are dispatched to dealers, that is on wholesale volumes rather than on retail volumes (sales from dealers to end customers).[12] The gap between the two is a useful indicator of channel health: in H1 2026, core retail volumes exceeded wholesales by more than 30%,[13] suggesting that dealer inventories were being reduced rather than built up.

4. Geographic exposure

Region	FY 2025 units	% of total	H1 2026 units	Change vs H1 2025
Americas	1,868	34%	837	+29%
EMEA (excl. UK)	1,580	29%	691	+28%
United Kingdom	1,032	19%	422	+12%
APAC	968	18%	381	+6%
Total	**5,448**	**100%**	**2,331**	**+21%**

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33; Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

The geographic mix is well diversified, with the Americas as the largest region. APAC is the weak spot: FY 2025 volumes there fell 21%, reflecting a soft Chinese market and a new luxury car tariff introduced in China in July 2025, while U.S. tariffs weighed on margins in the group's largest region.[14]

5. Ownership and governance

Shareholder	Voting rights at 31 Dec 2025
Lawrence Stroll (incl. Yew Tree Overseas and Ernesto Bertarelli)	33.0%
of which Yew Tree Overseas Ltd	*16.2%*
of which Ernesto Bertarelli	*14.9%*
Li Shufu (Geely)	14.1%
Public Investment Fund (Saudi Arabia)	13.9%
Mercedes-Benz AG	7.5%

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 154.

The shareholder base is highly concentrated: the four groups above hold around 68% of voting rights.[15] These strategic investors have repeatedly supported the group's funding needs, most recently through a £52.5m equity investment by the

[9] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 30 (Financial Review), which attributes the Q4 2025 improvement to "higher-margin Valhalla deliveries".

[10] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33 (FY 2025 total ASP) and Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026) (H1 2026 total ASP).

[11] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174 (Consolidated Statement of Cash Flows): movement in advances and customer deposits of £(177.7)m in FY 2024 and £2.6m in FY 2025.

[12] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 176 (Note 2, Accounting policies: revenue is recognized at the point of dispatch to the dealer).

[13] Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[14] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33 (Financial Review: volumes by region, China luxury car tariff effective July 2025) and p. 186 (Note 5: U.S. tariffs).

[15] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 154 (Directors' Report: substantial shareholdings at 31 December 2025).

Yew Tree Consortium in 2025.[16] Mercedes-Benz is also a long-standing technical partner, supplying engines, electrical architecture and infotainment systems under a partnership dating back to 2013.[17]

The group is led by Lawrence Stroll, Executive Chairman since April 2020; Adrian Hallmark, Chief Executive Officer since September 2024 and previously Chairman and CEO of Bentley Motors; and Doug Lafferty, Chief Financial Officer since May 2022.[18]

6. Strategy and recent developments

- **Transformation program (2025–2028).** Management aims to transform Aston Martin from a "high-potential" into a "high performance" company through two levers: top-line growth driven by ASP, and operating efficiencies. Adjusted operating expenses excluding depreciation and amortization fell 16% in FY 2025, and the group now targets a reduction of its 5-year capex plan from c. £2.0bn to c. £1.7bn.[19]
- **Gradual electrification.** Rather than an early switch to fully electric vehicles, the group is developing electrically boosted combustion and hybrid powertrains, with battery-electric models to be introduced alongside the next step change in battery technology.[20]
- **Monetization of non-core assets.** The group raised net proceeds of c. £106m in 2025 from the sale of a significant portion of its shareholding in AMR GP, owner of the Aston Martin Formula One team, and completed the sale of the Aston Martin naming rights to the team for £50m in H1 2026.[21]
- **Refinancing (July 2026).** A new £550m debt package arranged with funds managed by HPS Investment Partners, comprising a £450m senior secured term loan and a £100m delayed-draw term loan, priced at SONIA + 6.75% and maturing in July 2031, repaid the fully drawn £170m super senior revolving credit facility and the £20m drawn under a facility from the Yew Tree Consortium. Pro forma liquidity rose to c. £340m at end-H1 2026.[22]
- **FY 2026 guidance.** Wholesale volumes similar to FY 2025, including around 500 Valhalla deliveries; gross margin improving into the high 30s%; adjusted EBIT margin improving materially towards breakeven; capex of c. £300m; net cash interest of c. £160m; and a materially lower free cash outflow than in FY 2025.[23]

[16] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174 (proceeds from equity share issue of £52.5m) and p. 35 (Financial Review: investment from the Yew Tree Consortium).

[17] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 155 (Directors' Report: relationship with Mercedes-Benz AG).

[18] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 86 (Board of Directors).

[19] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 18-19 (Our strategy) and p. 35 (Financial Review: 5-year capex plan).

[20] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 22 (Our market: policy framework).

[21] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 35 (Financial Review) and p. 187 (Note 5); Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026) for the completion of the naming rights sale.

[22] Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): new £550m financing and FY 2026 outlook.

[23] Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): new £550m financing and FY 2026 outlook.

7. Key financials

£m (unless stated)	FY 2024	FY 2025	H1 2025	H1 2026
Wholesale volumes (units)	6,030	5,448	1,922	2,331
Revenue	1,583.9	1,257.7	454.4	628.6
Total ASP (£k)	245	209	206	241
Gross margin	36.9%	29.4%	27.9%	33.8%
Adjusted EBITDA	271.0	108.1	(3.0)	62.7
Adjusted EBITDA margin	17.1%	8.6%	(0.7%)	10.0%
Adjusted EBIT	(82.8)	(189.2)	(121.5)	(108.9)
Free cash flow	(391.6)	(409.9)	(321.0)	(197.6)
Capital expenditure (cash)	400.6	341.0	n.a.	n.a.
Net debt (period end)	1,162.7	1,380.3	1,377.7	1,544.7
Adjusted net leverage (net debt / LTM adj. EBITDA)	4.3x	12.8x	n.a.	8.9x
Liquidity (period end)	513.7	250.3	227.7	145.2*

** c. £340m pro forma for the July 2026 refinancing. n.a.: not analyzed in this section*
Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 3, p. 32-36 and p. 224; Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

Figures are presented as reported by the company, including its alternative performance measures (adjusted EBITDA, adjusted EBIT, net debt, free cash flow), which are defined and reconciled to IFRS measures in Note 34 of the Annual Report.[24]

8. Key takeaways for the analysis

- **The operating trough appears to be behind us**. H1 2026 shows a clear recovery in volumes (+21%), gross margin (+590 bps) and adjusted EBITDA, driven by Valhalla deliveries and the renewed core range. The reported H1 2026 operating result also benefits from £47.7m of one-off income from the naming rights sale, which must be excluded to assess underlying performance.[25]
- **But the business still consumes cash**. Even with positive EBITDA, interest costs (c. £160m expected in FY 2026) and capital expenditure (c. £300m) keep free cash flow negative, and net debt rose to £1.5bn at end-H1 2026.[26]
- **The central question is the sustainability of the capital structure**. Can EBITDA growth outpace interest and investment needs fast enough to stabilize net debt without further shareholder support? The following sections address this question through a normalized EBITDA analysis, a review of cash conversion and a reconstruction of net debt.

[24] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 3, p. 32-36 and p. 224 (Note 34, Alternative performance measures); Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[25] Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[26] Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): new £550m financing and FY 2026 outlook.

II. Industry and Competitive Landscape

1. The ultra-luxury automotive market

Aston Martin competes in a small and highly concentrated segment. Its closest ultra-luxury peers each sell fewer than 14,000 cars a year: in 2025, Ferrari shipped 13,640 cars,[27] Lamborghini delivered 10,747,[28] Bentley 10,131[29] and Aston Martin 5,448.[30] By comparison, Porsche, the reference in premium performance cars, delivered 279,449 vehicles.[31]

Demand is driven by high-net-worth individuals (HNWIs). Aston Martin expects the global HNWI population to grow by 6.9% between 2024 and 2028, with North America and Asia as the largest hubs, and highlights a generational shift: younger buyers are projected to account for 85% of global luxury purchases by 2030.[32]

In this segment, value matters more than volume. Ferrari illustrates the model: its 2025 shipments were broadly stable (−112 units), yet revenue rose 7% to €7,146m and its EBITDA margin reached 38.8%, driven by price, product mix and personalization.[33] Scarcity is a deliberate strategy, which supports pricing power, residual values and the desirability of the brand.

2. Structural trends

- **Electrification is being recalibrated.** The segment is slowing its shift to fully electric vehicles. Lamborghini canceled its fully electric car planned for 2030 and will launch the Lanzador as a plug-in hybrid instead, citing growing customer resistance to EVs;[34] Bentley abandoned its 2030 all-electric target;[35] and Porsche now favors a mixed powertrain portfolio.[36] Ferrari, by contrast, is launching its first fully electric car, the Ferrari Luce, in 2026.[37] Aston Martin's gradual approach, based on hybrid and electrically boosted combustion powertrains, is in line with most peers[38] and limits the risk of investing heavily in EV platforms ahead of demand.
- **U.S. tariffs weigh on margins.** The United States is the largest market for most ultra-luxury brands. Since 30 June 2025, UK-built cars have been subject to a 10% tariff within an annual quota of 100,000 vehicles (pro-rated to 65,205 for the rest of 2025),[39] compared with 15% for cars imported from the European Union since 1 August 2025.[40] Tariffs cost Porsche around €700m in 2025[41] and reduced Lamborghini's operating margin.[42] As a UK manufacturer, Aston Martin benefits from a lower rate than its Italian and German peers, but the quota is shared with other UK carmakers and U.S. tariffs still weighed on its 2025 margins.[43]
- **China has become a headwind.** Demand for luxury cars in China has weakened, and since 20 July 2025 China has lowered the threshold of its 10% retail consumption tax on super luxury cars from RMB 1.3m to RMB 900,000, with

[27]Ferrari N.V., FY 2025 Results press release, 10 February 2026.

[28]Audi AG, "Automobili Lamborghini consolidates growth in 2025 with best-ever results for deliveries and revenue", press release, 19 March 2026 (10,747 deliveries, revenue of €3.20bn, operating margin of 24%).

[29]Motor1, "Bentley has been profitable for seven years in a row", 2026 (10,131 deliveries); Audi AG, "Bentley marks seventh consecutive year of profitability while continuing site transformation", press release, 17 March 2026 (revenue of €2.6bn, operating margin of 8.3%).

[30]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33 (Financial Review).

[31]Porsche AG, "Porsche is realigning itself: Leaner, faster and even more desirable", annual press conference on financial year 2025, 2026.

[32]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 22 (Our market: long-term trends).

[33]Ferrari N.V., FY 2025 Results press release, 10 February 2026.

[34]Yahoo Finance, "Lamborghini 2025 profit dented by US tariffs and EV U-turn", 2026.

[35]Motor1, "Bentley has been profitable for seven years in a row", 2026.

[36]Porsche AG, "Porsche is realigning itself: Leaner, faster and even more desirable", annual press conference on financial year 2025, 2026.

[37]Ferrari N.V., FY 2025 Results press release, 10 February 2026 (announcement of the Ferrari Luce, world première on 25 May 2026).

[38]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 22 (Our market: policy framework).

[39]Federal Register, "Imports of Automobiles, Automobile Parts, Civil Aircraft and Civil Aircraft Parts From the United Kingdom Under Executive Order 14309", 30 June 2025.

[40]Euronews, "US drops tariffs on EU cars to 15%", 25 September 2025.

[41]Porsche AG, "Porsche is realigning itself: Leaner, faster and even more desirable", annual press conference on financial year 2025, 2026.

[42]Audi AG, "Automobili Lamborghini consolidates growth in 2025 with best-ever results for deliveries and revenue", press release, 19 March 2026.

[43]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 186 (Note 5: U.S. tariffs and quota mechanism).

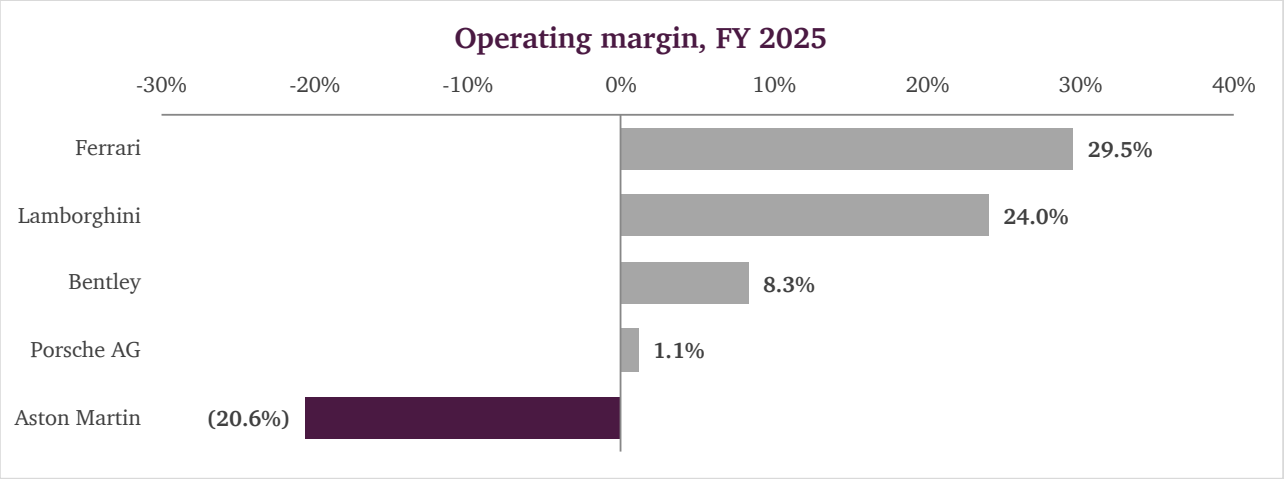
pure electric models also subject to the tax at the retail stage.[44] The impact is visible across the segment: Ferrari's shipments to Mainland China, Hong Kong and Taiwan fell from 1,162 to 941 units in 2025,[45] while Aston Martin's APAC volumes fell 21%.[46]

3. Competitive positioning

The table below compares Aston Martin with its main peers on scale, pricing and profitability in 2025.

FY 2025	Units	Revenue	Revenue per unit	Operating margin
Ferrari	13,640	€7.1bn	€524k	29.5% (EBIT)
Lamborghini	10,747	€3.2bn	€298k	24%
Bentley	10,131	€2.6bn	€257k	8.3%
Aston Martin	**5,448**	£1.3bn	**£231k**	**(20.6%)**
Porsche AG	279,449	€36.3bn	€130k	1.1%

Sources: company publications and press coverage (see footnotes). Revenue per unit: author's calculation. Operating margins are as reported by each company and may differ in definition; Aston Martin margin based on reported (IFRS) operating loss.



Three conclusions emerge. First, **Aston Martin is the smallest player** of the ultra-luxury group, with around half the volumes of Lamborghini or Bentley and 40% of Ferrari's. Second, **its pricing is competitive**: revenue per car of around £231k, or c. €273k at the 2025 average rate of £1 = €1.18, places it between Bentley (€257k) and Lamborghini (€298k),[47] which confirms the strength of the brand. Third, **it is the only loss-making company in the group**, with a reported operating margin of (20.6%) and an adjusted EBIT margin of (15.0%) in 2025,[48] against 29.5% for Ferrari.[49]

In our view, the gap is not explained by the brand or by pricing, but by **scale**. A carmaker must fund development programs, regulatory compliance and a global distribution network regardless of its volumes: spread over 5,448 cars, these fixed costs weigh far more on each vehicle than over Ferrari's 13,640. Aston Martin's challenge is therefore to increase the value generated per car, through richer mix, Specials and personalization, faster than its cost base, while servicing a much heavier debt burden than its peers. Section III analyzes these questions in detail.

[44]KPMG, "China: Consumption tax threshold for super luxury cars reduced", TaxNewsFlash, September 2025.

[45]Ferrari N.V., FY 2025 Results press release, 10 February 2026.

[46]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33 (Financial Review: volumes by region).

[47]Author's calculation: revenue divided by units delivered or shipped, in each company's reporting currency. Includes non-vehicle revenue (e.g. parts, servicing, sponsorship and brand activities). Aston Martin figure converted at the 2025 average exchange rate of £1 = €1.18 disclosed in Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 206.

[48]Author's calculation from Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 34: reported operating loss of £(259.2)m on revenue of £1,257.7m; adjusted EBIT margin of (15.0%) (Note 34, p. 224).

[49]Ferrari N.V., FY 2025 Results press release, 10 February 2026.

III. Financial Analysis

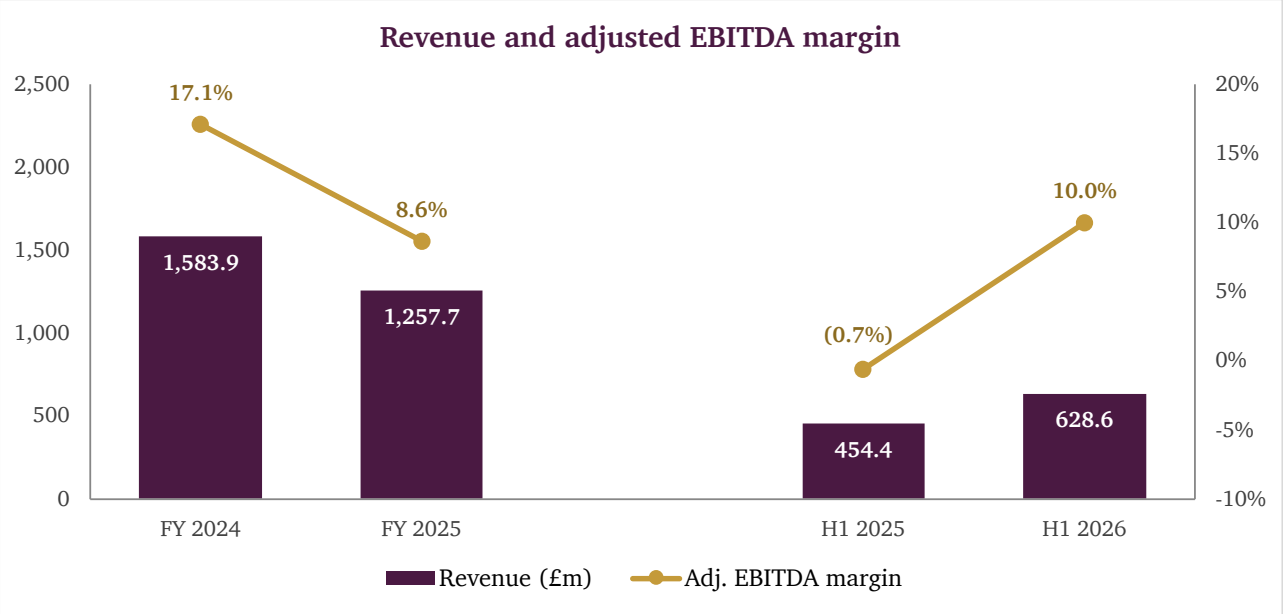
This section applies an outside-in financial due diligence approach, based solely on public information, to the three questions a potential investor would ask: how much does the business earn (Quality of Earnings), how much cash does it generate or consume (Cash Flow, Capex and Working Capital), and how much does it really owe (Net Debt and Capital Structure).

1. Quality of Earnings

Revenue and gross margin

£m (unless stated)	FY 2024	FY 2025	H1 2025	H1 2026
Wholesale volumes (units)	6,030	5,448	1,922	2,331
Of which Specials	*218*	*182*	*18*	*225*
Revenue	1,583.9	1,257.7	454.4	628.6
Total ASP (£k)	245	209	206	241
Gross profit	583.9	369.8	126.6	212.5
Gross margin	**36.9%**	**29.4%**	**27.9%**	**33.8%**

Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33-34; Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).



FY 2025 revenue fell 21%, driven by both lower volumes (−10%) and a lower total ASP (−15%), as the group delivered fewer Specials ahead of the Valhalla ramp-up.[50] Gross margin fell by 750 bps to 29.4%. Beyond the mix effect, management points to U.S. tariffs and around £65m of additional warranty costs, dealer support and quality investments.[51] The notes confirm the scale of the quality issue: the warranty charge nearly doubled, from £37.5m to £71.2m.[52]

H1 2026 marks a clear inflection: with 225 Specials delivered, mostly Valhallas, revenue rose 38% and gross margin recovered to 33.8%.[53] This recovery, however, rests heavily on a limited-series model whose deliveries are expected to peak in FY 2026; its sustainability will depend on the next Specials and on core model pricing.

[50]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 33-34 (Financial Review); Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[51]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 34 (Financial Review: gross margin drivers, including U.S. tariffs, warranty costs and dealer support of c. £65m).

[52]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 213 (Note 25, Provisions: warranty charge of £71.2m in 2025 vs £37.5m in 2024).

[53]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

From reported operating loss to Adjusted EBITDA

£m (unless stated)	FY 2024	FY 2025
Reported operating loss (IFRS)	(99.5)	(259.2)
+ Impairment of development costs, net of RDEC (non-cash)	–	38.1
+ Employee restructuring costs	–	18.7
+ ERP implementation costs	10.0	8.1
+ Legal costs, net of settlement income	5.2	2.9
+ Other (director change costs, transaction fees)	1.5	2.2
Adjusted EBIT (management)	**(82.8)**	**(189.2)**
+ Depreciation, amortization and loss on disposals	353.8	297.3
Adjusted EBITDA (management)	**271.0**	**108.1**
Adjusted EBITDA margin	17.1%	8.6%

Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 186-187 (Note 5) and p. 224 (Note 34). Bridge reconstructed by the author; totals reconcile to reported figures.

Management's adjustments totaled £70.0m in FY 2025, of which £38.1m relate to a non-cash impairment of discontinued vehicle programs and therefore only affect EBIT. At EBITDA level, the adjustments amount to £31.9m of cash costs presented as non-recurring.[54]

Normalized EBITDA: our view

A Transaction Services review does not take management's adjusted EBITDA at face value. Our review of the FY 2025 accounts identifies one adjustment and several points of judgment:

- **A one-off gain inside adjusted EBITDA.** Adjusted operating expenses include an £11m benefit from the revaluation of a warrant option linked to the AMR GP disposal.[55] This gain is non-recurring and unrelated to car sales: we deduct it, which lowers FY 2025 normalized EBITDA to **£97.1m**.
- **Recurring "non-recurring" items.** ERP costs were presented as non-recurring in both 2024 and 2025, although the rollout now appears complete;[56] restructuring costs (£18.7m) arise from two waves of workforce reductions within a transformation program running until 2028.[57] We accept management's treatment, but a prudent buyer could treat part of these costs as recurring, which would lower normalized EBITDA to around £70m.
- **Warranty costs.** If the c. £34m increase in the warranty charge reflects a one-off catch-up on quality issues, underlying EBITDA would be higher. Without visibility on future claims, we do not add it back.
- **Foreign exchange.** The £(15)m FX impact on FY 2025 adjusted EBITDA is not normalized: currency exposure is structural for a UK manufacturer selling mostly abroad.[58]

[54]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 186-187 (Note 5, Adjusting items) and p. 224 (Note 34, Alternative performance measures).

[55]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 34 (Financial Review): adjusted operating expenses included "the previously announced £11m benefit from the revaluation uplift of the secondary warrant option associated with the disposal of the Group's AMR GP investment".

[56]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 186 (Note 5): ERP costs of £10.0m in 2024 and £8.1m in 2025; the rollout to the second manufacturing site was completed in 2025.

[57]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 186 (Note 5) and p. 213 (Note 25): £18.7m restructuring provision, of which £13.5m to be settled in 2026.

[58]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 34 (Financial Review: £(15)m FX impact on adjusted EBITDA).

£m (unless stated)	FY 2025	LTM H1 2026
Adjusted EBITDA (management)	108.1	173.8
− Warrant revaluation gain	(11.0)	(11.0)
Normalized EBITDA (author)	**97.1**	**162.8**
− Cash spent on capitalized development	(271.4)	n.a.
Normalized EBITDA after development spend	**(174.3)**	**n.a.**

Sources: author's analysis based on the Annual Report 2025 (p. 34, p. 174, p. 224) and H1 2026 Results. LTM: last twelve months to 30 June 2026.

For H1 2026, management already excludes the £47.7m gain on the naming rights sale from its adjusted measures,[59] but it flatters the reported operating result. On a last-twelve-months basis, adjusted EBITDA reaches £173.8m.[60] The key finding, however, lies below EBITDA: because most development spend is capitalized, EBITDA excludes £271m of annual cash investment. Once this spend is deducted, the business generated a negative £174m in FY 2025, before interest. EBITDA is therefore a misleading indicator of Aston Martin's economic performance.

Below operating profit, the FY 2025 net loss of £493.0m also includes a tax charge of £129.1m, which mainly reflects the derecognition of the group's entire £126.4m deferred tax asset. Under IAS 12, such an asset can only be recognized if future taxable profits are probable: by writing it down to nil, citing "more uncertainty regarding the timing of future utilisation of carried forward losses", management itself signals limited visibility on a return to profitability in the medium term. Conversely, the group retains £2.5bn of unrecognized deferred tax assets, including £1.2bn relating to tax losses, which could shelter future profits if the turnaround succeeds.[61]

2. Cash Flow, Capex and Working Capital

Capital expenditure and development spend

£m (unless stated)	FY 2024	FY 2025
Purchases of property, plant and equipment	88.7	69.6
Technology and development expenditure	311.9	271.4
Total capital expenditure	**400.6**	**341.0**
Capex as % of revenue	25.3%	27.1%
Depreciation and amortization	353.8	297.3
Capex / D&A	1.13x	1.15x

Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174 and p. 224; ratios: author's calculation.

Aston Martin invests more than a quarter of its revenue each year, mostly in vehicle development.[62] Under IAS 38, these development costs are capitalized and amortized over the life of each model,[63] so they never appear in EBITDA. Capex consistently exceeds D&A, which shows that the group is still building its future product portfolio rather than simply maintaining it. Management has cut its 5-year capex plan from c. £2.0bn to c. £1.7bn and guides c. £300m for FY 2026:[64] lower capex improves cash flow in the short term, but at the risk of thinner future product launches.

[59]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): proceeds of the naming rights sale recognized as adjusting other operating income of £47.7m.

[60]Author's calculation: FY 2025 adjusted EBITDA of £108.1m, less H1 2025 (£(3.0)m), plus H1 2026 (£62.7m).

[61] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 191 (Note 9(d), Taxation: deferred tax) and p. 34 (Financial Review: tax charge of £129.1m).

[62]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174 (Consolidated Statement of Cash Flows) and p. 224 (Note 34: depreciation and amortization).

[63]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 176-177 (Note 2, Accounting policies: development costs capitalized under IAS 38).

[64]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 35 (Financial Review: 5-year capex plan reduced from c. £2.0bn to c. £1.7bn); Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026) (FY 2026 capex of c. £300m).

Net working capital

£m, on 31 December	2024	2025
Inventories	303.0	277.7
Trade and other receivables (current)	209.7	201.7
Trade payables	(108.1)	(86.3)
Customer deposits and advances	(96.8)	(99.5)
Trade working capital	**307.8**	**293.6**
As % of revenue	19.4%	23.3%
Inventory days (on cost of sales)	111	114
Memo: receivables financed off balance sheet	*167.4*	*158.0*

Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 173, p. 200-201; trade working capital and ratios: author's calculation.

Trade working capital decreased slightly in absolute terms but rose to 23.3% of revenue, as inventories did not fall as fast as sales.[65] Three features of Aston Martin's working capital deserve attention:

- **Off-balance sheet dealer financing.** Around £158m of dealer receivables are financed through wholesale finance facilities and derecognized from the balance sheet.[66] Reported receivables, and therefore working capital, are lower than the economic reality: a change in these facilities would directly consume cash.
- **Customer deposits on Specials.** Deposits are collected well before delivery and unwind when cars are handed over: this unwinding consumed £178m of cash in FY 2024.[67] With Valhalla deliveries peaking in 2026, the associated deposits are likely to unwind as well, a headwind that will only be offset if new Specials attract fresh deposits.
- **Seasonality.** Q4 is structurally the strongest quarter, and year-end liquidity benefits from improved cash collections.[68] Year-end working capital therefore understates the average level needed during the year: a buyer would set a normalized working capital target based on monthly averages, which are not public.

From EBITDA to free cash flow

£m	FY 2024	FY 2025
Adjusted EBITDA (management)	271.0	108.1
Working capital, tax and other items	(147.1)	(34.0)
Net cash from operating activities	**123.9**	**74.1**
Capital expenditure	(400.6)	(341.0)
Net interest paid	(114.9)	(143.0)
Free cash flow	**(391.6)**	**(409.9)**

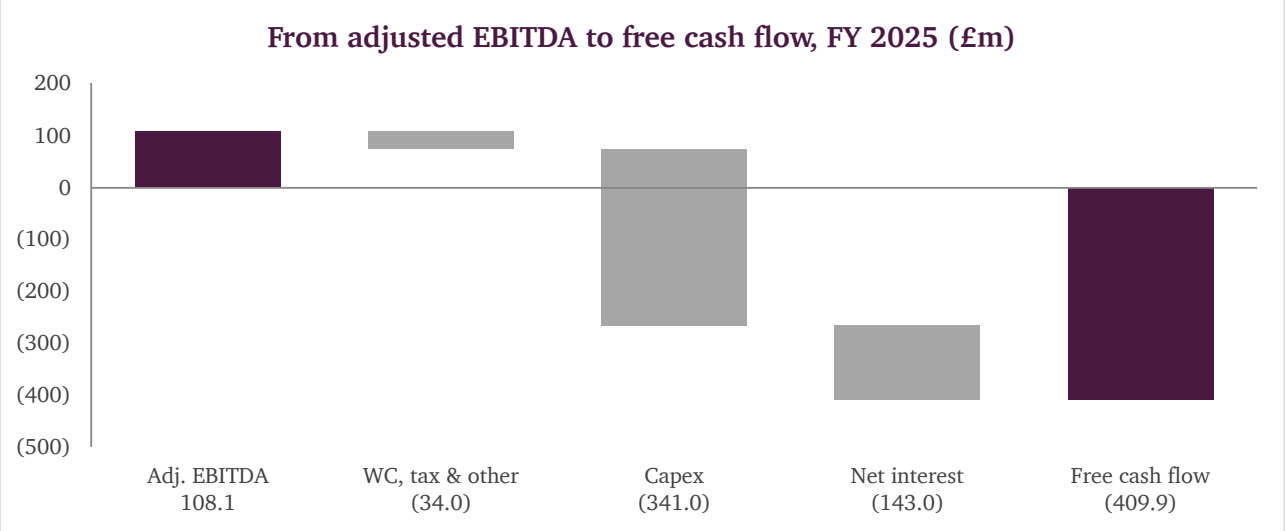
Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174 and p. 225; "working capital, tax and other items" derived by the author as the difference between operating cash flow and adjusted EBITDA.

[65]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 173 (Consolidated Statement of Financial Position) and p. 201 (Note 21, Trade and other payables).

[66]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 200 (Note 18): dealer receivables financed under wholesale finance facilities and derecognized: £158.0m at 31 December 2025 (£151.5m CAAB, £0.8m Stellantis, £5.7m CGB) vs £167.4m at 31 December 2024.

[67]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174 (Consolidated Statement of Cash Flows: movement in advances and customer deposits of £(177.7)m in 2024).

[68]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 35 (Financial Review: liquidity supported by improved cash collections at year end).



In both years, the group burned around £400m of cash.[69] Capex alone absorbs more than three times FY 2025 EBITDA, and net interest a further £143m. The cash burn continued in H1 2026 at £(197.6)m, although it improved by 38% year-on-year.[70]

A simple breakeven test illustrates the scale of the challenge. With guided capex of c. £300m and net cash interest of c. £160m in FY 2026,[71] Aston Martin needs around **£460m of EBITDA**, before working capital and tax, just to stop consuming cash. This is **2.6 times** its LTM adjusted EBITDA of £173.8m, and well above its FY 2024 level of £271m.

This threshold is sensitive to the capex assumption: the c. £300m guided for FY 2026 is below historical levels. If capex returned to its FY 2025 level of £341m, or to £400m to fund the next product cycle, breakeven EBITDA would rise to c. £500m to £560m, around 3 times LTM adjusted EBITDA.

3. Net Debt and Capital Structure

Reported net debt

£m, period end	FY 2024	FY 2025	H1 2026
Senior secured notes	1,378.9	1,329.8	n.a.
Bank loans and RCF	8.4	170.4	n.a.
Lease liabilities	96.6	91.8	n.a.
Inventories repurchase arrangement	38.4	39.6	n.a.
Cash and cash equivalents	(359.6)	(249.9)	n.a.
Cash not available for short-term use	–	(1.4)	n.a.
Net debt (reported)	**1,162.7**	**1,380.3**	**1,544.7**
Adjusted net leverage (x LTM adjusted EBITDA)	4.3x	12.8x	8.9x

Sources: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 204 and p. 225; Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026). n.a.: breakdown not analyzed for H1 2026.

[69]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 225 (Note 34: free cash flow reconciliation) and p. 174 (Consolidated Statement of Cash Flows).

[70]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[71]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): FY 2026 outlook (capex of c. £300m, net cash interest of c. £160m).

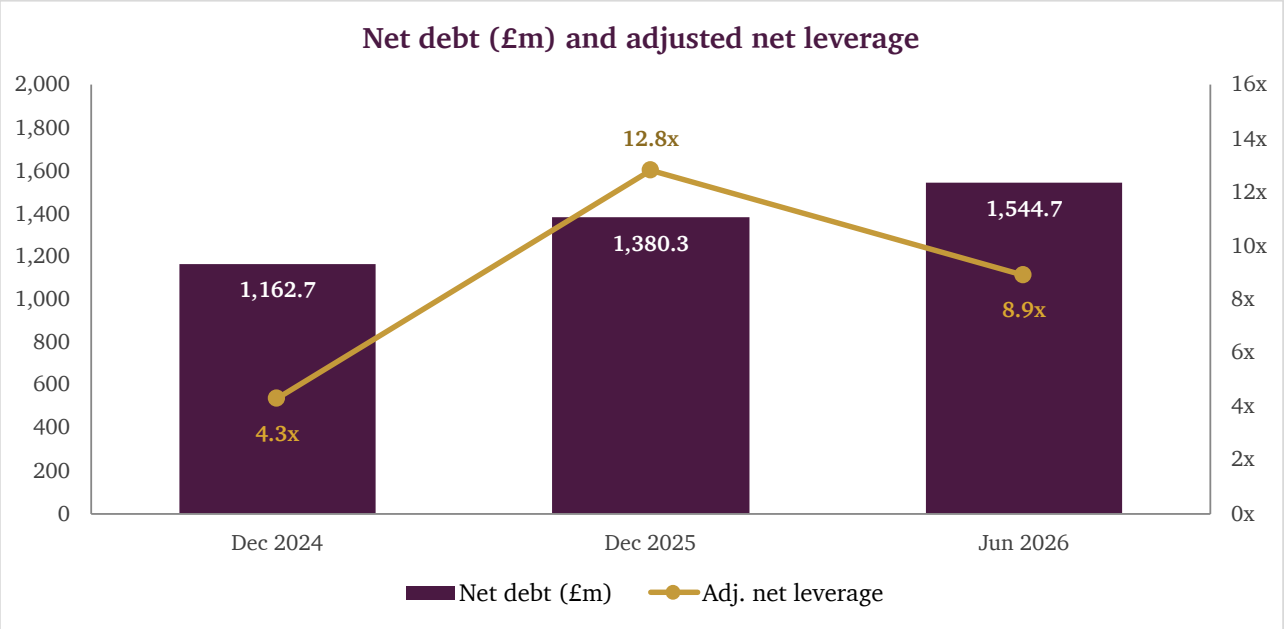
Net debt rose by £218m in FY 2025 and a further £164m in H1 2026, to £1.54bn.[72] The FY 2025 increase would have been larger without a £57m non-cash gain on the revaluation of the group's US Dollar notes: with around £773m of debt denominated in US Dollars, a stronger dollar would increase reported net debt.[73]

Debt-like items and adjusted net debt

Reported net debt does not capture all the group's debt-like obligations. Based on the FY 2025 accounts, we identify the following items:[74]

£m, on 31 December 2025	Low case	High case
Net debt (reported)	1,380.3	1,380.3
+ Restructuring provision (cash outflow expected in 2026)	13.5	13.5
+ Employee benefit obligations	22.1	22.1
+ Dealer receivables financed off balance sheet	–	158.0
Adjusted net debt (author)	**1,415.9**	**1,573.9**
x FY 2025 normalized EBITDA (£97.1m)	14.6x	16.2x

Sources: author's analysis based on the Annual Report 2025 (p. 173, p. 200, p. 213, p. 225).



The restructuring provision and employee benefit obligations are clear debt-like items. The off-balance sheet dealer financing is a matter of judgment: the risks have been legally transferred to the financing banks, but these facilities replace working capital funding that the group would otherwise need to finance itself. Customer deposits on Specials (£99.5m) are a further point of negotiation in a transaction: a buyer could argue that deposits received for cars not yet delivered should be treated as debt-like. On our estimates, adjusted net debt stood between **£1.42bn and £1.57bn** at the end of 2025, or **15 to 16 times** normalized EBITDA. On a last-twelve-months basis, applying these items to net debt on 30 June 2026 gives adjusted net debt of c. £1.58bn to £1.74bn, or 9.7x to 10.7x normalized LTM EBITDA of £162.8m.[75]

[72]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 225 (Note 34: net debt reconciliation) and p. 204 (Note 23, Borrowings); Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026).

[73]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 204 (Note 23: US Dollar borrowings of £773.2m) and p. 34 (Financial Review: £57m non-cash gain on US Dollar debt revaluation in 2025).

[74]Author's analysis based on the Annual Report 2025: p. 213 (Note 25, restructuring provision), p. 173 (employee benefit obligations) and p. 200 (Note 18, wholesale finance facilities).

[75] Author's calculation: net debt of £1,544.7m at 30 June 2026 (Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026, RNS, 29 July 2026) plus the debt-like items identified at 31 December 2025, the latest available, divided by normalized LTM EBITDA of £162.8m (Section III.1)

Debt structure, maturities and liquidity

- **Senior secured notes.** The bulk of the debt consists of £565m of Sterling notes at 10.375% and US$1,050m of US Dollar notes at 10.0%, both repayable in **March 2029**.[76] At these rates, Aston Martin pays a cost of debt close to that of high-yield issuers and faces a refinancing of around £1.3bn within less than three years.
- **July 2026 refinancing.** The new £450m term loan and £100m delayed-draw facility, at SONIA + 6.75% and maturing in July 2031,[77] repaid the fully drawn £170m RCF and increased liquidity but added to gross debt. It buys time rather than reducing leverage.
- **Covenants.** The RCF carried a quarterly leverage covenant. In view of market volatility, the group agreed an amendment with its banks that deferred the next test to March 2027.[78] The need for such an amendment is in itself a signal of financial tension.
- **Liquidity.** Liquidity fell to £145.2m on 30 June 2026, before rising to c. £340m pro forma for the July financing.[79] The auditor identified no material uncertainty regarding the group's ability to continue as a going concern until 30 June 2027,[80] but with an H1 2026 cash burn of nearly £200m, this cushion would be largely absorbed within a year if cash consumption continued at that pace. The expected improvement in H2, seasonally the strongest half, is therefore critical.

Conclusion of the financial analysis.

Aston Martin's operating recovery is real, but its capital structure remains the central risk. The group needs EBITDA roughly 2.6 times its current level to stop consuming cash, carries adjusted net debt of around 10 to 11 times normalized LTM EBITDA (15 to 16 times on the FY 2025 trough), and faces a £1.3bn refinancing in 2029. Until then, it remains dependent on the continued support of its strategic shareholders, who have injected equity repeatedly, most recently £52.5m in 2025.[81]

[76]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 204 (Note 23): £565.0m of Sterling SSNs at 10.375% and US$1,050.0m of US Dollar SSNs at 10.0%, repayable in March 2029; £170m RCF drawn at £164.0m.

[77]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): £450m senior secured term loan and £100m delayed-draw term loan at SONIA + 6.75%, maturing July 2031.

[78]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 175 (Note 1, Going concern: RCF leverage covenant, amendment deferring the next test to March 2027).

[79]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): liquidity of £145.2m at 30 June 2026, c. £340m pro forma for the July 2026 financing.

[80]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 163 (Independent Auditor's Report: no material uncertainty identified for the period to 30 June 2027).

[81]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 35 and p. 174 (£52.5m equity investment by the Yew Tree Consortium in 2025).

IV. Peer Benchmarking and Valuation

This section compares Aston Martin with its two main listed peers, Ferrari and Porsche AG, and assesses what its current market value implies. Lamborghini and Bentley are not listed and cannot be used for valuation; their operating margins are discussed in Section II.

1. Peer comparison

FY 2025	Ferrari	Porsche AG	Aston Martin
Revenue	€7,146m	€36,272m	£1,258m
EBITDA margin	38.8%	13.3% (automotive)	8.6% (adjusted)
Free cash flow	€1,538m (industrial)	€1,511m (automotive net cash flow)	£(410)m
Net debt / (net cash)	€32m	€(7,346)m	£1,380m
Net debt / EBITDA	0.0x	Net cash	12.8x

Sources: Ferrari FY 2025 results; Porsche AG Annual Report 2025; Aston Martin Annual Report 2025. Definitions differ slightly between companies (see footnotes).

The contrast is stark. Ferrari combines an EBITDA margin close to 40%, strong cash generation and virtually no debt.[82] Porsche AG had a difficult 2025, with its automotive EBITDA margin falling to 13.3% because of U.S. tariffs and the cost of its strategic realignment, but it still generated €1.5bn of automotive net cash flow and holds €7.3bn of net liquidity.[83] Aston Martin is the only one of the three to consume cash and to carry significant debt, with net debt at 12.8 times adjusted EBITDA.[84]

Peer benchmarking therefore confirms the conclusion of Section III: **Aston Martin's weakness lies less in its brand or pricing than in its scale, its cash generation and its balance sheet.**

2. Market valuation

Late September 2026	Ferrari	Porsche AG	Aston Martin
Market capitalization	€62.9bn	€41.6bn	£0.34bn
+ Net debt / (− net cash)	€0.0bn	€(7.3)bn	£1.54bn
Enterprise value (EV)	**€63.0bn**	**€34.2bn**	**£1.88bn**
EV / revenue	8.8x	0.9x	1.3x
EV / EBITDA	22.7x	8.0x	10.8x
Net debt as % of EV	0%	n.m.	82%

Sources: Google Finance (share prices, late September 2026); company reports. Multiples based on FY 2025 for Ferrari and Porsche AG, and on LTM to 30 June 2026 for Aston Martin (revenue £1,431.9m, adjusted EBITDA £173.8m). n.m.: not meaningful.

At a share price of 33.4p, Aston Martin's market capitalization stood at around £339m in late September 2026.[85] Adding net debt of £1,545m on 30 June 2026[86] gives an enterprise value of around £1.88bn, or 10.8 times LTM adjusted EBITDA. For Porsche AG, market capitalization is estimated on all 911 million shares.[87]

[82]Ferrari N.V., FY 2025 Results press release, 10 February 2026 (net revenues €7,146m, EBITDA €2,772m, industrial free cash flow €1,538m, net industrial debt €32m).

[83]Porsche AG, Annual and Sustainability Report 2025, "Results of operations, financial position and net assets" (Group sales revenue €36,272m; automotive EBITDA €4,282m and EBITDA margin 13.3%; automotive net liquidity €7,346m; automotive net cash flow €1,511m).

[84]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 34 and p. 225; Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026). LTM: last twelve months to 30 June 2026 (FY 2025 less H1 2025 plus H1 2026).

[85]Google Finance, share price quotes for Aston Martin Lagonda (LSE: AML, 33.4p, 28 September 2026), Ferrari N.V. (BIT: RACE, €357.05, 25 September 2026) and Porsche AG preferred shares (ETR: P911, €45.63, 25 September 2026). Market data change daily and should be updated at the date of publication.

[86]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): net debt of £1,544.7m at 30 June 2026. The July 2026 financing increased both gross debt and cash; its effect on net debt is limited to transaction costs.

[87]Porsche AG's share capital is divided into 911 million shares, half ordinary and half preferred; only the preferred shares are listed. Market capitalization is estimated by applying the preferred share price to all 911 million shares, a common simplification.

Three observations stand out:

- **Aston Martin is not valued as a luxury brand.** Ferrari trades at 8.8 times revenue and 22.7 times EBITDA, a valuation closer to luxury goods companies than to carmakers. Aston Martin trades at 1.3 times revenue, close to Porsche AG. Despite comparable pricing per car (Section II), the market does not grant it a luxury premium, reflecting its losses and its leverage.
- **Shareholders own a thin slice of the business.** Net debt represents 82% of Aston Martin's enterprise value: of each pound of value attributed to the group, only around 18 pence belongs to shareholders. Its EBITDA multiple of 10.8 times looks higher than Porsche's, but this reflects the weight of debt rather than any optimism on the equity.
- **EV/EBITDA flatters Aston Martin.** Because most development spend is capitalized, EBITDA overstates the cash the business generates (Section III.1). On an EV/EBIT or EV/(EBITDA − capex) basis, Aston Martin's multiple is not meaningful: both FY 2025 adjusted EBIT (£(189.2)m) and adjusted EBITDA less capex (£(232.9)m) are negative. The market is therefore valuing a recovery that has yet to reach the cash flow statement.

3. Implied equity value and sensitivity

Because debt represents most of the enterprise value, small changes in EBITDA or in the valuation multiple have a large effect on the value of the equity. The table below estimates the implied equity value per share for different levels of EBITDA and EV/EBITDA multiples, based on net debt of £1,545m and c. 1,015 million shares.[88]

Implied value per share	8.0x	10.0x	12.0x	14.0x
EBITDA £160m	(26.1)	5.4	37.0	68.5
EBITDA £175m (≈ LTM)	(14.3)	20.2	54.7	89.2
EBITDA £200m	5.4	44.9	84.3	123.7
EBITDA £250m	44.9	94.1	143.4	192.6

Sources: author's calculation. Implied equity value = EBITDA × multiple − net debt (£1,544.7m), divided by c. 1,015 million shares. Current share price: 33.4p. Negative values indicate that the enterprise value would not cover net debt.

Three findings emerge:

- **The equity is worth nothing below c. 8.9 times EBITDA.** At a multiple equal to Porsche AG's (8.0 times), the implied enterprise value would not even cover net debt. Including the debt-like items identified in Section III, this breakeven multiple rises to between 9.1 and 10.0 times.[89]
- **The share price embeds a recovery.** At the current LTM EBITDA of around £175m, the 33.4p share price requires a multiple of about 11 times. Alternatively, at a multiple of 10 times, it requires EBITDA of around £190m, around 8% above the current level.
- **The equity behaves like an option on the turnaround.** One additional turn of multiple on LTM EBITDA adds around £174m of value, more than half of the current market capitalization. If the recovery materializes, with EBITDA of £250m and a multiple of 12 times, the implied value would exceed 140p per share; if it stalls, the equity could be worth little or nothing.

Conclusion. Peer comparison and market valuation lead to the same diagnosis: Aston Martin has a luxury brand, but neither the profitability nor the balance sheet of a luxury company. Its equity value is highly sensitive to the pace of the operational recovery, which makes it a high-risk, high-uncertainty investment.

[88] Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 173 (share capital of £101.2m at a nominal value of 10p, i.e. c. 1,012 million shares); market capitalization of £339m as reported by Google Finance implies c. 1,015 million shares.

[89] See Section III.3: restructuring provision (£13.5m), employee benefit obligations (£22.1m) and, in the high case, dealer receivables financed off balance sheet (£158.0m).

V. Conclusion: Key Risks and Findings for a Potential Investor

This section summarizes the findings of the report in the format of a due diligence conclusion.

1. Key findings

Area	Finding	Impact for an investor
Brand and pricing	Revenue per car close to Bentley and Lamborghini; core ASP up 5% in FY 2025	Positive: the brand retains pricing power
Quality of earnings	Normalized FY 2025 EBITDA of £97m vs £108m reported, after excluding an £11m one-off gain; recurring "non-recurring" costs	Reported EBITDA overstates underlying profitability
Cash conversion	£271m of capitalized development spend excluded from EBITDA; free cash outflow of c. £400m a year	EBITDA is a misleading indicator; the business consumes cash
Breakeven	c. £460m of EBITDA needed to stop consuming cash, 2.6x LTM level	The turnaround must go much further than the H1 2026 recovery
Net debt	Adjusted net debt of £1.58bn to £1.74bn on 30 June 2026, i.e. c. 10–11x normalized LTM EBITDA (15–16x on FY 2025); c. £1.3bn of notes due in March 2029	The capital structure is the central risk
Valuation	Net debt represents 82% of EV; equity worthless below c. 8.9x EBITDA	High sensitivity of equity value to the recovery

2. Key risks

- **Execution risk on the product cycle.** The H1 2026 recovery relies heavily on Valhalla deliveries, expected to peak in FY 2026. The next Specials, such as the Valen, a front-engined V12 limited to around 150 units unveiled in August 2026,[90] must take over to sustain mix, margins and customer deposits.
- **Liquidity risk.** With a cash burn of nearly £200m in H1 2026, pro forma liquidity of c. £340m leaves limited headroom if the expected improvement in the second half does not materialize.
- **Refinancing and covenant risk.** Around £1.3bn of senior secured notes must be refinanced by March 2029, and the next RCF covenant test has been deferred to March 2027.[91] Refinancing at current rates of around 10% would keep interest costs at c. £160m a year.[92]
- **Macroeconomic and trade risk.** U.S. tariffs, the Chinese luxury car tax and currency movements (with c. £773m of debt in US Dollars) can affect volumes, margins and reported net debt.
- **Dependence on shareholder support.** Strategic shareholders have repeatedly injected equity. Further dilutive capital raises cannot be excluded if the recovery is slower than expected.[93]

3. Scenarios

Scenario	Assumption	EBITDA	EV/EBITDA	Implied value per share
Bear	Recovery stalls after the Valhalla peak	£160m	8.0x	Nil (negative)
Base	Gradual recovery	£200m	10.0x	c. 45p
Bull	Successful product cycle and margin expansion	£250m	12.0x	c. 143p

Sources: author's illustrative scenarios based on Section IV.3. Current share price: 33.4p (late September 2026).

[90]Autocar India, "Aston Martin Valen debuts as brand's most powerful front-engined car", August 2026; Times Drive, "Aston Martin Valen unveiled with 861bhp V12 engine, 150 units planned", August 2026.

[91]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 175 (Note 1, Going concern): next RCF covenant test deferred to March 2027.

[92]Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026): FY 2026 outlook.

[93]Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 68-77 (Principal risks and risk management) and p. 78 (Viability Statement).

These scenarios are illustrative and not forecasts.[94] They show the asymmetry of the investment case: in the bear case, the equity could be wiped out; in the bull case, it could be worth several times the current share price. The outcome depends almost entirely on the pace of the operational recovery relative to the cost of debt.

4. Information requests for a full due diligence

This outside-in analysis is limited to public information. In a transaction, a buyer would request access to a data room to address the following points:

- **Monthly financials and working capital,** to set a normalized working capital target and understand intra-year cash needs.
- **Order book and customer deposits by model,** in particular for the Valhalla, the Valen and future Specials.
- **Warranty claims history,** to assess whether the increase in warranty costs is one-off or recurring.
- **Breakdown of adjusting items and restructuring costs,** to finalize the normalized EBITDA.
- **Covenant calculations and management's cash flow forecasts,** including the refinancing plan for the 2029 notes.
- **Terms of the off-balance-sheet dealer financing facilities,** to confirm their treatment in adjusted net debt.

5. Turnaround or debt trap?

The answer is: **both, for now.** The operational turnaround is real: volumes, gross margin and EBITDA recovered strongly in H1 2026, and the brand retains its pricing power. But the capital structure turns this recovery into a race against time. Aston Martin needs EBITDA at roughly 2.6 times its current level to stop consuming cash, while servicing around £160m of interest a year and preparing to refinance £1.3bn of debt by 2029.

Whether Aston Martin escapes the debt trap will depend on a small number of indicators that an investor should monitor closely: the evolution of free cash flow in the second half of 2026, the success of the Specials that follow the Valhalla, the March 2027 covenant test and the terms of the 2029 refinancing. Until these milestones are passed, **Aston Martin remains a high-risk turnaround story, in which the brand is not in question, but the balance sheet is.**

[94]Author's illustrative scenarios, derived from the sensitivity table in Section IV.3 (net debt of £1,544.7m, c. 1,015 million shares). They are not forecasts.

Appendices

A. Summary financial statements

Consolidated income statement

£m, year ended 31 December	2024	2025
Revenue	1,583.9	1,257.7
Cost of sales	(1,000.0)	(887.9)
Gross profit	**583.9**	**369.8**
Adjusted operating expenses	(666.7)	(559.0)
of which depreciation and amortization	*(353.8)*	*(297.3)*
Adjusting operating items	(16.7)	(70.0)
Operating loss	**(99.5)**	**(259.2)**
Net financing expense	(189.6)	(104.7)
Loss before tax	**(289.1)**	**(363.9)**
Tax charge	(34.4)	(129.1)
Loss for the year	**(323.5)**	**(493.0)**

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 34 (Financial Review: income statement summary).

Consolidated statement of financial position (condensed)

£m, on 31 December	2024	2025
Intangible assets	1,659.1	1,644.8
Property, plant and equipment	351.4	351.5
Other non-current assets	277.7	74.8
Inventories	303.0	277.7
Trade and other receivables	209.7	201.7
Other current assets	1.0	5.1
Cash and cash equivalents	359.6	249.9
Total assets	**3,161.5**	**2,805.5**
Borrowings	(1,387.3)	(1,500.2)
Lease liabilities	(96.6)	(91.8)
Trade and other payables	(809.7)	(787.0)
Provisions	(46.8)	(68.5)
Other liabilities	(68.2)	(28.8)
Total liabilities	**(2,408.6)**	**(2,476.3)**
Total shareholders' equity	**752.9**	**329.2**

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 173. Other non-current assets include the deferred tax asset (£126.4m in 2024, derecognized in 2025) and the investment in AMR GP (£50.9m in 2024). Line items grouped by the author.

Consolidated statement of cash flows (condensed)

£m, year ended 31 December	2024	2025
Net cash inflow from operating activities	**123.9**	**74.1**
Payments for property, plant and equipment	(88.7)	(69.6)
Technology and development expenditure	(311.9)	(271.4)
Proceeds from disposal of investments	18.7	108.5
Interest received	7.1	4.8
Net cash used in investing activities	**(374.8)**	**(227.7)**
Interest paid	(122.0)	(147.8)
Proceeds from equity share issue	111.2	52.5
Net movement in borrowings and other financing	226.6	144.1
Net cash inflow from financing activities	**215.8**	**48.8**
Net decrease in cash and cash equivalents	(35.1)	(104.8)
Effect of exchange rates	2.3	(4.9)
Cash and cash equivalents on 31 December	**359.6**	**249.9**

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 174. "Net movement in borrowings and other financing" groups new borrowings, repayments, refinancing costs, leases and inventory repurchase arrangements (author's grouping).

B. Alternative performance measures reconciliation

The reconciliations below are those published by the company.

From loss before tax to adjusted EBITDA

£m	2024	2025
Loss before tax	(289.1)	(363.9)
Adjusting operating expenses	16.7	70.0
Adjusting finance income	(18.8)	(4.2)
Adjusting finance expense	35.7	–
Adjusted loss before tax	**(255.5)**	**(298.1)**
Adjusted finance income	(7.1)	(61.7)
Adjusted finance expense	179.8	170.6
Adjusted EBIT	**(82.8)**	**(189.2)**
Reported depreciation	84.4	88.9
Adjusted amortization	269.3	208.3
Loss on sale / scrap of PP&E	0.1	0.1
Adjusted EBITDA	**271.0**	**108.1**
Adjusted EBITDA margin	17.1%	8.6%

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 224 (Note 34, Alternative performance measures).

Net debt and free cash flow

£m, at / for the year ended 31 December	2024	2025
Cash and cash equivalents	359.6	249.9
Borrowings	(1,387.3)	(1,500.2)
Inventories repurchase arrangement	(38.4)	(39.6)
Lease liabilities	(96.6)	(91.8)
Cash not available for short-term use	–	1.4
Net debt	**(1,162.7)**	**(1,380.3)**
Adjusted leverage (net debt / adjusted EBITDA)	4.3x	12.8x
Net cash inflow from operating activities	123.9	74.1
Cash used in investing activities (excl. interest and disposals)	(400.6)	(341.0)
Net interest paid	(114.9)	(143.0)
Free cash flow	**(391.6)**	**(409.9)**

Source: Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025, p. 225 (Note 34, Alternative performance measures).

C. Glossary

Term	Definition
Adjusted EBITDA / EBIT	Management's measures of operating profit before items it considers non-recurring ("adjusting items"); EBITDA also excludes depreciation and amortization.
Adjusted net debt	Reported net debt plus debt-like items identified by the author (Section III.3).
ASP	Average selling price per vehicle. "Core ASP" excludes Specials.
bps	Basis points; 100 bps = 1 percentage point.
Capitalized development	Development costs recorded as an intangible asset under IAS 38 and amortized over the life of a model, rather than expensed.
Covenant	Financial condition set by lenders (here, a leverage ratio) that the borrower must respect.
Data room	Secure space in which a seller makes confidential documents available to potential buyers during a due diligence.
Debt-like items	Obligations not included in reported net debt but treated as debt in a transaction (e.g. provisions, pension obligations).
Delayed-draw term loan	Loan facility that can be drawn after signing, within a set period.
EV (enterprise value)	Market capitalization plus net debt; the value of the business for all capital providers.
Free cash flow	Cash generated after operating activities, capital expenditure and net interest (company definition).
FY / H1 / Q4	Financial year / first half (six months) / fourth quarter.
Leverage	Net debt divided by adjusted EBITDA over the last twelve months.
LTM	Last twelve months.
Normalized EBITDA	Adjusted EBITDA after the author's own adjustments (Section III.1).
Outside-in due diligence	Financial analysis of a company based solely on public information, without access to internal data.
Pro forma	Figure restated as if a transaction (here, the July 2026 financing) had already occurred.
RCF	Revolving credit facility: a credit line that can be drawn, repaid and redrawn.
Retail / wholesale	Sales from dealers to end customers / sales from Aston Martin to dealers (basis for revenue recognition).
SONIA	Sterling Overnight Index Average, the benchmark interest rate for sterling loans.
Specials	Limited-series models sold at much higher prices than core models (e.g. Valhalla, Valen).
SSNs	Senior secured notes: bonds secured on the group's assets.

D. Sources

- Aston Martin Lagonda Global Holdings plc, Annual Report and Accounts 2025. https://www.astonmartin.com/en/corporate/investors/annual-report
- Aston Martin Lagonda Global Holdings plc, Interim Results for the half-year ended 30 June 2026 (RNS, 29 July 2026). https://www.astonmartin.com/en/corporate/investors/results-and-presentations
- Aston Martin Lagonda, corporate website, "About Us". https://www.astonmartin.com/en/corporate/about-us
- London Stock Exchange Group, "Aston Martin Lagonda lists on London Stock Exchange", 3 October 2018. https://lseg.com/en/media-centre/press-releases/2018/aston-martin-lagonda-lists-london-stock-exchange
- Ferrari N.V., FY 2025 Results press release, 10 February 2026. https://www.globenewswire.com/news-release/2026/02/10/3235138/0/en/STRONG-PERFORMANCE-IN-2025-SETS-THE-FOUNDATION-FOR-CONTINUED-GROWTH-IN-2026.html
- Porsche AG, annual press conference on financial year 2025. https://newsroom.porsche.com/en_US/2026/company/porsche-annual-press-conference-financial-year-2025-annual-and-sustainability-report-41881.html
- Porsche AG, Annual and Sustainability Report 2025, "Results of operations, financial position and net assets". https://newsroom.porsche.com/en/annual-sustainability-report/combined-management-report/results-of-operations-financial-position-and-net-assets
- Yahoo Finance, "Lamborghini 2025 profit dented by US tariffs and EV U-turn", 2026. https://finance.yahoo.com/markets/stocks/articles/lamborghini-2025-profit-dented-us-070205642.html
- Motor1, "Bentley has been profitable for seven years in a row", 2026. https://www.motor1.com/news/790262/bentley-profitable-seven-consecutive-years/
- Federal Register, imports of automobiles from the United Kingdom under Executive Order 14309, 30 June 2025. https://www.federalregister.gov/documents/2025/06/30/2025-12060/imports-of-automobiles-automobile-parts-civil-aircraft-and-civil-aircraft-parts-from-the-united
- Euronews, "US drops tariffs on EU cars to 15%", 25 September 2025. https://www.euronews.com/business/2025/09/25/us-drops-tariffs-on-eu-cars-to-15
- KPMG, "China: consumption tax threshold for super luxury cars reduced", TaxNewsFlash, September 2025. https://kpmg.com/us/en/taxnewsflash/news/2025/09/tnf-china-consumption-tax-threshold-for-super-luxury-cars-reduced.html
- Autocar India, "Aston Martin Valen debuts as brand's most powerful front-engined car", August 2026. https://www.autocarindia.com/car-news-amp/aston-martin-valen-revealed-at-the-monterey-car-week-440504
- Times Drive, "Aston Martin Valen unveiled with 861bhp V12 engine, 150 units planned", August 2026. https://www.timesdrive.in/news/aston-martin-valen-unveiled-with-861bhp-v12-engine-150-units-planned-article-155739662
- Google Finance, share price quotes for AML, RACE and P911, late September 2026. https://www.google.com/finance/quote/AML:LON
- Audi AG, "Automobili Lamborghini consolidates growth in 2025 with best-ever results for deliveries and revenue", press release, 19 March 2026. https://www.audi.com/en/press-releases/automobili-lamborghini-consolidates-growth-in-2025-with-best-ever-results-for-deliveries-and-revenue-17073
- Audi AG, "Bentley marks seventh consecutive year of profitability while continuing site transformation", press release, 17 March 2026. https://www.audi.com/en/press-releases/bentley-marks-seventh-consecutive-year-of-profitability-while-continuing-site-transformation-17066